



RHINO
CEMENT

ARM
ARM CEMENT LTD

UNAUDITED GROUP RESULTS FOR THE SIX MONTHS ENDED JUNE 30, 2015.

TURNOVER

7.7 bn

+2%



EBITDA

1.9 bn

+9%



CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE SIX MONTHS ENDED	30.06.2015 Ksh.'000	30.06.2014 Ksh.'000
Revenue	7,689,144	7,566,879
Operating Profit	1,572,193	1,469,047
Finance Cost	627,040	220,969
Profit Before Tax and Unrealised Exchange Losses	945,153	1,248,078
Unrealised Exchange Losses	1,418,669	25,817
Profit/(Loss) Before Tax	(473,516)	1,222,261
Taxation	117,716	(375,038)
Profit/(Loss) After Tax	(355,800)	847,223
Total comprehensive income (loss)	(355,800)	847,223
Earnings Per Share(Annualised) (Ksh.)	(1.4)	3.4

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT	30.6.2015 Ksh.'000	31.12.2014 Ksh.'000
Assets		
Non Current Assets	29,279,502	28,706,803
Current Assets	7,556,182	8,205,777
Total Assets	36,835,684	36,912,580
Equity & Liabilities		
Share Capital	495,275	495,275
Share Premium	302,027	302,027
Capital and Other Reserves	9,503,252	8,621,015
Provision for Unrealised Exchange Losses	(1,418,669)	-
Equity attributable to equity holders of parent Company	8,881,885	9,418,317
Non - Controlling interest	2,490	2,490
	8,884,375	9,420,807
Total Non Current Liabilities	13,515,349	10,001,177
Current Liabilities	14,435,960	17,490,596
Total Equity & liabilities	36,835,684	36,912,580

CONDENSED STATEMENT OF CASH FLOWS FOR THE SIX MONTHS ENDED	30.6.2015 Ksh.'000	30.6.2014 Ksh.'000
Cash Generated before working capital changes	1,951,969	1,776,195
Working capital changes	(1,530,353)	(276,122)
Cash Generated from operations	421,616	1,500,073
Net Interest	(627,040)	(220,969)
Tax Paid	(549,093)	(616,289)
Net Cash from Operating Activities	(754,517)	662,815
Net Cash used in Investing Activities	(572,699)	(3,038,846)
Net Cash from Financing Activities	1,158,015	1,642,605
Increase/(Decrease) in Cash and Cash Equivalents	(169,201)	(733,426)
At start of the Period	406,756	2,406,408
Exchange Adjustment	(22,162)	(16,987)
At end of the Period	215,394	1,655,995

2015 HALF YEAR RESULTS

The Board of Directors hereby announce the unaudited results for the Group for the six month period ended 30th June 2015.

The six month group revenue increased to KES 7.7 billion, an increase of 2% over the same period in 2014. Cement sales have been increasing each month in both Kenya and Tanzania with a marked increase in the second quarter when the Tanga clinker plant became fully operational.

During the first half of 2015, operating profit increased to KES 1.6 billion, an increase of 7% over the same period last year. The improvement in operating profit is attributable to reduced cost of clinker now manufactured at the Tanga plant. Previously the entire clinker requirement for Tanzania was imported at a much higher cost. The Tanga clinker plant is now operating at 70% capacity utilization and will ramp up to full capacity of 4,000 tons per day over the next few months. The Tanga plant is not only supplying clinker to our Dar es Salaam cement plant, but also to the cement plants in Kaloleni and Athi River. This has further reduced our cost base as previously 30% of our clinker requirements in Kenya were met with more expensive imported clinker. The company has also started selling clinker to a number of other cement grinding units in Tanzania and exporting clinker to Rwanda and DRC.

The EBITDA (earnings before interest, tax, depreciation and amortization) has grown to KES 1.94 billion, an increase of 9% over the same period in 2014. The EBITDA margin increased from 23% to 25% for the first six months.

Profit before tax and unrealized exchange loss stood at KES 945 million after finance cost of KES 627 million. Previously finance cost related to the construction of the clinker plant was capitalized as part of the project cost. The sharp depreciation of both the Kenyan and Tanzanian currencies in the last few weeks has resulted in an unrealized exchange loss of KES 1.4 billion from our US dollar denominated borrowings, which include the convertible loan notes issued to AFC. Whilst this exchange loss is a provision in our income statement as per IFRS (International Financial Reporting Standards) it could be reversed if the currencies strengthen again, or against future US dollar earnings, and / or partly reversed when AFC converts the loan notes into equity. The result of the provision is that the group has made a net loss of KES 356 million.

Clinker capacity increases 300% to 1.7 Million tons per year

The US dollar based loans financed much of the construction of the clinker plant in Tanzania, whilst short term borrowings in Kenya shillings financed the working capital requirements .Now that the clinker plant is operational, no further major investment is required, and the company looks forward to increase sales, financial consolidation and consequently debt reduction. As reported earlier, the company has appointed CFC Stanbic Bank, Standard Chartered Bank and Barclays Bank as mandated lead arrangers to refinance the group's short term debt. This is expected to be completed by September 2015.

OUTLOOK

Demand for cement increased by more than 10% during the first half of the year throughout East Africa, driven by infrastructure and housing construction. Inspite of the recent currency depreciation and increase in interest rates, the fundamentals for continued economic and construction sector growth remain strong.The company expects to significantly improve performance in the second half of the year through cost efficiencies arising from self sufficiency in clinker, and increased sales from all business divisions, including Mavuno fertilizers.

DIVIDEND

In accordance with past practice, the Board of Directors does not recommend an interim dividend for the year

By Order of the Board

R. R. Vora

Company Secretary

July 29, 2015